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IN THE MATTER OF PENROSE ROBOTICS LIMITED v CALDERVALE DISTRIBUTION LIMITED

Claim No. CL-2025-000287 — Commercial Court (KBD)

ADVICE ON THE MERITS

Counsel: Harriet Stanford, Eldon Chambers, Temple, London EC4Y 7BD

Instructing solicitors: Whitfield Carter LLP (ref SW/PR-LIT/00175)

Date: 30 April 2025

Introduction

1. I am asked to advise Penrose Robotics Limited ("Penrose") on the merits of its claim against Caldervale Distribution Limited ("Caldervale") arising out of the System Supply, Integration and Maintenance Agreement dated 22 January 2024 (the "Agreement"), and on Caldervale's anticipated counterclaim. I have considered the Agreement and its Schedules, the OrchestraOS acceptance-test logs, the dependency sign-off register, and the parties' correspondence.

2. In summary, I consider Penrose has a strong claim for the Outstanding Sums of £1,437,500 and good prospects of defeating the bulk of Caldervale's counterclaim, although the causation issue on throughput will require careful expert handling. I assess overall prospects of recovering the Outstanding Sums at around 70–75%.

The contractual framework

3. The acceptance regime is the pivot of the dispute. Clause 8 and Schedule 4 set the two acceptance metrics — 650 units/hour/zone and 98% availability. Crucially, clause 7 and Schedule 5 made those metrics conditional on Caldervale discharging defined dependencies: an accurate SKU master, a compliant host environment (sub-5ms latency) and a stable order profile during the Acceptance Period. The conditionality is, in my view, clearly drafted and Caldervale's attempt in its pre-action correspondence to recast clause 7 as a mere "reasonable endeavours" co-operation clause is unpersuasive.

4. If, as the contemporaneous records suggest, Caldervale supplied a defective SKU master (errors in ~22% of active SKUs), hosted OrchestraOS at ~31ms latency, and injected an out-of-profile promotional surge on 21 October 2024, then it cannot in my judgment rely on the resulting shortfall to reject the System. That is both a matter of construction (the dependencies were conditions precedent to a valid test) and of the prevention principle.

The withheld sums

5. Milestone 4 (£1,275,000) was, on Caldervale's reading, conditional on System Acceptance. Penrose's answer is that no valid acceptance test occurred because Caldervale frustrated the conditions on which a valid test depended; acceptance is therefore to be treated as having occurred, alternatively damages flow in the same amount. The integration tranche (£162,500) is, in my view, more straightforwardly due. I would plead the Milestone 4 claim primarily as a debt and, in the alternative, as damages.

Causation and the expert

6. The battleground will be causation: did the System fail because it was incapable of the contractual throughput, or because Caldervale's data and hosting starved it? This is squarely a matter for intralogistics expert evidence. Dr Holloway's preliminary analysis — that clean-data, in-profile periods exceeded 650 units/hour/zone — is powerful, but his report must isolate the contribution of each of Caldervale's failures, ideally with a counterfactual simulation. If the expert evidence holds, Caldervale's counterclaim largely falls away.

The counterclaim

7. Caldervale's counterclaim (peak-season losses, remediation and replacement-system costs, ~£2.1m) is contingent on establishing that Penrose, rather than Caldervale, caused the shortfall. For the reasons above I think Penrose has the better of that argument. The replacement-system head looks vulnerable on mitigation and betterment. I would not, however, advise complacency: the peak-season loss figure, if proved, is large, and a tribunal unimpressed by Penrose's data-quality narrative could apportion.

Recommendation

8. I advise Penrose to issue and to plead the claim as set out in my draft Particulars. The dependency documentation and the OrchestraOS logs should be preserved and disclosed early. Subject to the expert evidence firming up, this is a case Penrose should be prepared to take to trial, while remaining open to a commercial settlement that recovers a substantial proportion of the Outstanding Sums. A mediation after exchange of expert reports would be sensible.

HARRIET STANFORD

Eldon Chambers, Temple, London EC4Y 7BD — 30 April 2025